

FEDERAL MARITIME COMMISSION

Docket Nos. 16-01, 16-07, 16-10, 16-11, and 17-09

IN RE VEHICLE CARRIER SERVICES

**RESPONDENTS' REPLY BRIEF TO THE OPPOSITION TO
THEIR SUPPLEMENTAL CONSOLIDATED MOTION TO DISMISS**

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I. PRELIMINARY STATEMENT.

Opposing Respondents' November 30, 2017 supplemental consolidated motion to dismiss FCA's complaint,¹ FCA asserts that (a) its claims are not time-barred, (b) it has pled plausible Shipping Act claims, and (c) it has standing to pursue its claims. FCA's brief in opp. to Respondents' sup. cons. mot. to dismiss, at i ("FCA br. at ___"). For the reasons set forth in their original brief and in this reply brief, Respondents respectfully submit that FCA is wrong on all three counts, and that FCA's complaint should be dismissed with prejudice.

II. REPLY ARGUMENT.

A. THE FCA COMPLAINT FOR REPARATIONS IS BARRED BY THE SHIPPING ACT'S THREE-YEAR STATUTE OF LIMITATIONS.

In at least five separate respects, FCA both fails to address key points in Respondents' motion and misstates the law on other elements. **First**, even if the highly publicized 2012 "dawn raids" somehow did not put FCA on notice of the conduct alleged in its complaint, multiple Commission press releases about seven-figure settlements between the Commission's Bureau of Enforcement ("BOE") and multiple Respondents put FCA on notice well before the limitations period expired. **Second**, FCA's claim that Respondents rely on facts "inappropriate" for consideration on a motion to dismiss simply misunderstands the governing legal standard; on a motion to dismiss, the Commission can take official notice of Commission records and widespread media reports relied on by Respondents to demonstrate that FCA's reparations claims are plainly time-barred. **Third**, any claims based on shipments completed prior to October 6, 2014 are time-barred under *Seatrain*, as relied on by FCA. **Fourth**, the

¹ For consistency's sake, all definitions used in Respondents' November 30, 2017 supplemental consolidated motion to dismiss FCA's complaint also are used in this reply.

“continuing violations” theory does not give FCA a timely claim as to shipments after October 6, 2014. And, *fifth*, class action tolling does not apply here, and thus cannot save FCA’s time-barred claims.

Each of these deficiencies is addressed separately.

1. FCA was on notice of the unlawful acts it alleges by no later than September 6, 2012.

FCA claims that, despite widespread media coverage, it somehow was not on either actual or constructive notice of its claims based on the September 6, 2012 dawn raids. At its core, this argument is largely a rehash of the arguments raised by the other Complainants, which already have been addressed at length. Suffice it to say that FCA’s arguments on this point fail for all the same reasons. *See* Respondents’ br. re cons. mot. to dismiss (Apr. 28, 2017) at 12-16; Respondents’ reply br. (June 8, 2017) at 4-6; Respondents’ br. re supp. cons. mot. to dismiss (Nov. 30, 2018) at 5-7.

Oddly, FCA argues that the GM complaint is irrelevant because, according to FCA, it is “untenable” to read the GM complaint as an acknowledgement that GM was on notice from the dawn raids. That assertion makes no sense. A plain reading of GM’s complaint indicates that September 6, 2012 was the date of both widespread publicity of the “dawn raids” and when GM became aware of its claims. *See, e.g.*, GM Compl. ¶¶ RRRR (“GM was not aware of the unlawful conduct alleged in this Complaint at any point in time before the investigations by the antitrust regulators became public on September 6, 2012.”). In any event, the point is not that GM made admissions binding FCA. Rather, GM’s acknowledgement serves as additional confirmation that an objectively reasonable complainant -- especially an objectively reasonable “Big Three” carmaker such as FCA -- would and should have been on notice then. *See*

Respondents' br. re cons. mot. to dismiss (Apr. 26, 2017) at 12-16 (explaining that law of constructive notice holds plaintiffs to standard of objective reasonableness).

Given its unexplained five year-plus delay in filing a complaint, FCA has an even weaker argument than the other Complainants on the notice question. As Respondents earlier explained, even if one ignores the widespread press reports of the 2012 "dawn raids" putting FCA on notice, the Commission's press releases announcing settlements covering the pre-September 6, 2012 conduct alleged in FCA's Complaint certainly put FCA on constructive notice of their potential Shipping Act claims. *See* Respondents' br. re cons. mot. to dismiss at 3-4. The press releases were issued on December 23, 2013 (K-Line and NYK), February 12, 2014 (MOL/NMCC) and March 5, 2014 (CSAV). FCA, tellingly does not and cannot in good faith dispute that this additional publicity put them on constructive notice. Accordingly, their time-barred claims should be dismissed.

2. The Commission can take official notice of its own records and widespread media reports in the context of a motion to dismiss.

FCA argues that the Presiding Officer can consider only those facts alleged in the complaint and cannot take official notice of facts proffered by Respondents, which FCA mischaracterizes as "extrinsic evidence." That too is wrong: Commission press releases, GM's Shipping Act complaint, and the fact of numerous media announcements about the dawn raids are all proper facts subject to official notice. *See* 46 C.F.R. § 502.226; Respondents' cons. reply br. (June 8, 2017), at 5 n.10. *Maier* -- a decision relied on by FCA -- makes this clear. *See Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 34 S.R.R. 35, 49 n.1 (FMC 2015) ("When evaluating a motion to dismiss for failure to state a claim the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice[.]") (emphasis

supplied; citations omitted). As *Marine Repair Services of Maryland v. Ports America* notes, “[o]fficial notice is broader than judicial notice and may be taken, not only of public records and generally accepted facts, but also of matters within an agency’s area of special expertise.” 32 S.R.R. 1133, 1161 n.39 (ALJ 2013). The governing proposition is straightforward: a presiding officer can take official notice not only of public records and generally accepted facts, but also of matters related to the shipping industry. See, e.g., *id.* at 1161 (taking official notice of external facts relating to competition and practices in shipping industry); *Bimsha Int’l v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc.*, 32 S.R.R. 353, 366, 368-71 (ALJ 2011) (taking official notice of Commission records and report from another federal agency); *John T. Barbour t/d/b/a Barbour Auto Grp.; Barbour Auto Sales; Barbour Shipping; and Barbour Shipping and Transp. Inc. - Possible Violations of Section 8 and 19 of The Shipping Act of 1984*, 34 S.R.R. 959, 968-70 (ALJ 2016) (taking official notice of Commission records related to BOE enforcement action and federal district court records from a related proceeding). This includes the BOE’s enforcement actions and public announcements by the Commission, as well as widespread media reports concerning industries within the realm of the agency’s regulatory expertise.²

3. All pre-October 6, 2014 claims are time-barred.

Inlet Fish Producers v. Sea-Land Service, 29 S.R.R. 306 (FMC 2001), provides the rule of decision: it holds that a cause of action accrues -- and the statute of limitations begins to run -- on the date the complainant had constructive knowledge of the facts on which its complaint is based. Because FCA knew or should have known of such facts well before October 2014, all reparations claims in respect of shipments more than three years prior to the October

² *Streak Products v. UTi*, 32 S.R.R. 1959 (ALJ 2013) -- also cited by FCA -- does not aid FCA’s cause. Nothing in *Streak Products* suggests that there is any reason a presiding officer cannot take official notice of documents in ruling on a motion to dismiss.

2017 filing of FCA's Complaint filing are barred by the Shipping Act's three-year statute of limitations for reparations claims.

Undaunted, FCA attempts to resuscitate its pre-October 2014 claims by incorrectly relying on *Seatrain Gitmo v. Puerto Rico Maritime Shipping Authority*, 18 S.R.R. 1079 (ALJ 1979). Contrary to FCA's views, *Seatrain* squarely holds that reparations claims based on actions outside the statutory period -- like those asserted by FCA -- are time-barred and may not be resuscitated once the limitations period expires, regardless of any "continuing" violations.³ So too here.

4. There are no plausible Shipping Act violations after October 6, 2014.

Respondents previously explained that, under *Maier Terminals LLC*, 32 S.R.R. at 1185, and *Seatrain*, FCA has failed to plead an independent act within the Shipping Act's three-year statute of limitations for reparations that would constitute an actionable violation of the Shipping Act. *See* Respondents br. re sup. cons. mot. to dismiss at 8. Hence, FCA does not have a sustainable cause of action for any claims post-October 6, 2014.

FCA nonetheless argues that *Maier* is inapplicable because it addressed only those circumstances "when the violation occurred outside the limitations period, but the effects continue within it." FCA Br. at 7 (emphasis in original). But FCA's own claims are logically inconsistent: they are based on alleged price effects that purportedly continued into the statutory period. *See, e.g.*, FCA Compl. ¶ 31 ("Pricing in accordance with those unfilled agreement by Respondents and their co-conspirators has continued through the current date and FCA has

³ In *Seatrain*, it was alleged that the respondents unlawfully rejected berthing requests from *Seatrain* both before and during the limitations period. The Administrative Law Judge "ALJ" held that, "[d]amages for unlawful acts" occurring outside the statutory period "are, of course, barred by the statute of limitations." *Seatrain*, 18 S.R.R. at 1082. The ALJ allowed only those claims for independent acts that occurred entirely within the statutory period. *Id.* Applied to the allegations here, claims for actions prior to October 6, 2014 are time-barred.

continued to pay, and be damaged by, unfiled, supracompetitive pricing agreements.”). FCA does not plead any other facts that would constitute a distinct violation within the statutory period: its complaint has no specific dates after 2012, particularly in respect of any dates FCA alleges for actual violations by Respondents. FCA’s Complaint also alleges nothing about any unlawful joint or collective conduct by Respondents after September 6, 2012.⁴ Rather, FCA’s Complaint only alleges agreements between or among Respondents before September 6, 2012. Even under FCA’s ersatz formulation, any price effects for shipments within the statutory period are simply the effects of alleged pre-statutory period violations, rendering FCA’s claims time-barred.

Seatrain does not save FCA. As FCA notes, each time those respondents barred *Seatrain* from berthing, those respondents committed a new and distinct violation of the Shipping Act; these included discrete, unlawful acts in violation of the Shipping Act within the statutory period, and hence the subject of timely claims. Here, in contrast, the alleged conspiracy ended no later than September 6, 2012; there is no allegation of any unlawful agreement between or among Respondents -- or any other alleged unlawful conduct -- on the pricing of specific shipments or otherwise, after September 6, 2012; and FCA fails to identify a single specific shipment with a specific Respondent in its Complaint, relying instead on implausible generalities

⁴ Even if FCA had made such allegations, they would be entirely implausible in light of (1) the September 6, 2012 “dawn raids” and active criminal investigations of Respondents, (2) Respondents’ payment of millions in fines to authorities, and (3) the publicly-announced Commission compromise agreements arising from the same conduct alleged by FCA. *See* Respondents’ br. re cons. mot. to dismiss at 8-11. On August 13, 2013, the Commission acknowledged that the unlawful acts alleged by FCA had terminated. *See* Compromise Agreement, FMC File No. 17098 (Aug. 13, 2013) (“Respondent has terminated the practices which are the basis of the alleged violations set forth herein, and has instituted and commits to maintaining measures designed to eliminate such practices in the future.” (emphasis supplied)). In light of that official statement by the Commission, FCA’s claim that the statute of limitations did not start to run by at least the filing date of that Compromise Agreement is far-fetched and implausible. And, that date renders FCA’s Complaint untimely in any event.

and conclusory allegations. FCA's Complaint does not set forth the type of action in violation of the Shipping Act alleged in *Seatrain*, and what it does allege is not sufficient to restart the running of the statute of limitations. Rather, to use FCA's terminology, FCA's allegations are no more than a mere continuing effect. That is not enough.

The much closer factual analogue is *Maher*, where the Commission rejected Maher's claim of a continuing violation arising out of continued payments under an allegedly unlawful lease. *See* Respondents br. re supp. cons. mot. to dismiss at 11-12. Like the lease payments in *Maher*, any alleged payments under shipping contracts here would not give rise to reparations claims within the statutory period.

Finally, FCA relies on federal employment and antitrust law on continuing violations in a last-ditch attempt to save their alleged claims. In so doing, FCA ignores the fact that this Commission expressly has stated that cases from the employment and antitrust contexts on continuing violations are inapplicable. *See Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 32 S.R.R. 1185, 1194 (FMC 2013) (declining to adopt ALJ's analysis of employment and antitrust cases for continuing violations). Under Commission precedent, FCA's claims are time-barred because they are premised solely on allegations of purported unlawful conduct prior to October 6, 2014 and do not include plausible allegations of any independent unlawful acts during the three-year limitations period.

5. Class action tolling does not apply and, hence, cannot save FCA's time-barred claims.

FCA's claims cannot be tolled based on the antitrust class action complaints filed by Complainants in federal court. *See* Respondents' reply br. re cons. mot. to dismiss at 1-6. As Respondents there outlined, *American Pipe* tolling simply is not afforded to FCA's claims: the Commission's authority instructs that the Shipping Act's limitations period is jurisdictional and,

therefore, is not subject to tolling based on equitable considerations, which is consistent with other judicial authority on jurisdictional statute of limitations. *See W. Overseas Trade and Dev. Corp. v. Asia N. Am. Eastbound Rate Agreement*, 26 S.R.R. 874, 885 (FMC 1993) (holding that Shipping Act's statute of limitations is "jurisdictional and cannot be waived" and thus "doctrine of equitable estoppel . . . has no application in Commission proceedings"); Respondents' reply br. re cons. mot. to dismiss at 2 n.2. Even if FCA's time-barred claims are assessed under *American Pipe* -- and they should not be -- it is to no avail: the doctrine does not allow for tolling of claims across *different forums* and *different statutes* involving *different remedies*, which is what FCA attempts to do here. *See* Respondents' reply br. re. cons. mot. to dismiss at 2-4. The conclusion is inescapable: *American Pipe* cannot save FCA's stale claims and FCA knew or should have known -- like each of the other Complainants -- of its claims by no later than September 6, 2012.

B. FCA'S COMPLAINT FAILS TO STATE COGNIZABLE SHIPPING ACT CLAIMS.

All parties agree that the adequacy of FCA's complaint is governed by *Iqbal* and *Twombly*. *See* FCA br. at 10. But, FCA misconstrues and misapplies the *Iqbal/Twombly* pleading standard, and those cases and their progeny show that FCA has failed to state a claim.

FCA relies on *Iqbal* for the proposition that it has pled sufficient "facts giving rise to an inference that Respondents are liable for the claims alleged." FCA br. at 10 (citing *Iqbal*, 556 U.S. at 678). But *Iqbal* makes clear that FCA's complaint -- which offers nothing more than "labels and conclusions" and "naked assertion[s]' devoid of 'further factual enhancement'" -- fails to state a claim. 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555, 557). As Respondents earlier explained, FCA's Complaint lacks virtually any "factual enhancement" that would allow an inference that it is entitled to relief. Respondents' br. re cons. mot. to dismiss at 9-10, 14-16

(explaining that FCA's failure to identify, or provide any details of, any purportedly affected contract and failure to provide any facts regarding any purportedly illegal agreements, meetings, or communications). Instead, FCA provides only "[t]hreadbare recitals of the elements of a cause of action, supported by mere conclusory statements" which "do not suffice." *Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 555).⁵ Without the required factual "heft," FCA has not shown it is entitled to relief. *Twombly*, 550 U.S. at 557.

FCA relies on *Holt Cargo Systems v. Delaware River Port Authority*, 28 S.R.R. 504 (ALJ 1998), and *Possible Unfiled Agreement Among A.P. Moller-Maersk Line, P&O NedLloyd Limited and Sea-Land Service*, 28 S.R.R. 389 (ALJ 1998), for the mistaken proposition that it would be premature to dismiss FCA's complaint without allowing discovery. As demonstrated by even a cursory examination of those pre-*Twombly* cases, that reliance is misplaced. *Holt*, for instance, depends on the more lenient pleading standard from *Conley v. Gibson*, 355 U.S. 41 (1957), which, as the Commission has recognized,⁶ was rejected and

⁵ In its scattershot approach to pleading, FCA makes several sweeping conclusory assertions that demonstrate its failure to meet the required threshold of plausibility. By way of example, and not by limitation, FCA asserts that "Respondents' violations of the Shipping Act, on information and belief, continue to this day." FCA Compl. ¶ 4 (emphasis supplied). In light of the widely-reported dawn raids by the United States Department of Justice ("DOJ") and the Federal Bureau of Investigation ("FBI") -- not to mention the publicly-announced compromise agreements between the Commission and Respondents, all of which properly is subject to official notice -- that allegation is wholly implausible. Likewise, given these high-profile public signals, the conclusory assertion that, prior to October 2014, FCA -- which touts itself as "the seventh-largest automaker in the world" that "has purchased hundreds of millions of dollars' worth of" vehicle carrier services (FCA Compl. ¶¶ 5, 23) -- "had no reason to suspect that an unlawful, anticompetitive agreement or agreements had been reached" strains credulity and does not approach the required threshold of plausibility. See FCA Compl. ¶ 43.

⁶ Compare *Holt Cargo Systems*, 28 S.R.R. at 508 (holding that "motions to dismiss for failure to state a claim . . . should be denied unless it appears beyond doubt that the complainant can prove no set of facts in support of a claim which would entitle it to relief"), with *Twombly*, 550 U.S. at 562-63 (explaining that "*Conley*'s 'no set of facts' language has been questioned, criticized, and explained away long enough" and is "best forgotten").

replaced by *Twombly*. See also *Maier Terminals, LLC*, 34 S.R.R. at 55 (adopting *Iqbal/Twombly* and rejecting “pre-*Twombly* cases” as “not determinative as to the proper standard”). By the same token, *Possible Unfiled Agreement* related to a BOE investigation that was not yet complete, and not a motion to dismiss a complaint by a private party before discovery commenced. See 28 S.R.R. at 393 (“In the instant case . . . we are not dealing with a private complaint but with an order of an agency having law-enforcement responsibilities and power akin to ‘inquisition,’ as the Supreme Court has expressly recognized.”).

Vainly seeking to prop up a complaint that fails to offer any factual “heft,” FCA ignores a fundamental tenet: that the *Iqbal/Twombly* pleading standard “imposes legal and factual demands on the authors of complaints.” *16630 Southfield Ltd. P’ship v. Flagstar Bank, F.S.B.*, 727 F.3d 502, 503 (6th Cir. 2013). “These directives do not exist for their own sake. Discovery imposes costs -- not only on defendants but also on courts and society.” *Id.* at 504. For this reason, among many, the pleading standard articulated in *Iqbal* and *Twombly* serves a critical gatekeeping function by ensuring that courts “retain the power to insist upon some specificity in pleading before allowing a potentially massive factual controversy to proceed.” *Twombly*, 550 U.S. at 558 (quoting *Associated Gen. Contractors of Cal., Inc. v. Carpenters*, 459 U.S. 519, 528 n. 17 (1983)); see also *16630 Southfield Ltd. P’ship.*, 727 F.3d at 504 (explaining that pleading standard “serves a vital practical function”).⁷ This Shipping Act dispute -- stemming from a DOJ antitrust investigation, FCA Compl. ¶ 2 -- presents precisely the concerns that animated *Twombly* when it held that claims lacking factual “heft” must be thrown out at the

⁷ See also *DM Research, Inc. v. Coll. of Am. Pathologists*, 170 F.3d 53, 55 (1st Cir. 1999) (“[T]he price of entry, even to discovery, is for the plaintiff to allege a factual predicate concrete enough to warrant further proceedings, which may be costly and burdensome. Conclusory allegations in a complaint, if they stand alone, are a danger sign that the plaintiff is engaged in a fishing expedition.”).

pleading stage. *See* 550 U.S. at 557-58 (observing that “discovery can be expensive”). “And the concerns that animated *Twombly* and *Iqbal* are relevant to Shipping Act proceedings[,]” particularly in a case as complex and far-flung as alleged by FCA. *Maher Terminals, LLC*, 34 S.R.R. at 55-56 (“Although not all Shipping Act proceedings are as complex as antitrust cases, some raise the same concerns about potential discovery abuse and complainants with ‘largely groundless claim[s] be[ing] allowed to take up the time of a number of other people, with the right to do so representing an *in terrorem* increment of the settlement value.’”) (quoting *Twombly*, 550 U.S. at 558). In light of these concerns, deficient complaints -- like FCA’s -- “‘should . . . be exposed at the point of minimum expenditure of time and money by the parties and the court.’” *Twombly*, 550 U.S. at 558 (quoting 5 Wright & Miller § 1216, at 233-34).

FCA seeks to sidestep its pleading deficiencies by arguing that Respondents are “on notice” of FCA’s claims based on a general awareness of the facts of the DOJ investigation and complaints by other parties. That point is incorrect and, in any event, irrelevant: “notice pleading” is not the standard, *Maher Terminals, LLC*, 34 S.R.R. at 55, and FCA does not address whether FCA has met its burden of pleading Shipping Act claims adequately under *Iqbal/Twombly*. *See Twombly*, 550 U.S. at 555 (describing “plaintiff’s obligation to provide the ‘grounds’ of his ‘entitle[ment] to relief’”) (emphasis supplied); *Olson v. Carmack*, 641 F. App’x 822, 826 (10th Cir. 2016) (“To withstand a motion to dismiss, a complaint must contain sufficient factual detail ‘to state a claim to relief that is plausible on its face.’ And the burden falls squarely on the plaintiff to meet that threshold.” (quoting *Twombly*, 550 U.S. at 570)).

Unable to meet its burden, FCA wishes to turn the pleading standard on its head, arguing that somehow “Respondents have not met their significant burden of showing that

FCA's claims are implausible[.]” FCA br. at 12 (emphasis supplied). That, of course, is not the rule of *Iqbal* and *Twombly*, FCA cannot so readily finesse its pleading obligations onto others, and, at bottom, its argument is simply silly. It is FCA, as the Complainant, who bears the burden of alleging facts sufficient to meet the plausibility standard of *Iqbal* and *Twombly*. See *Barnes v. Harris*, 783 F.3d 1185, 1196 (10th Cir. 2015) (“[P]laintiffs forget that they bear ‘the burden of alleging sufficient facts on which a recognized legal claim could be based.’”). FCA failed to do so here.

In candor, FCA concedes that it failed to plead highly relevant, basic facts within its possession. See FCA br. at 12 (“[M]any, if not all, of the facts that Respondents complain FCA did not plead are . . . equally known to Respondents as FCA.”). This concession underscores the commonsense conclusion that FCA intentionally chose to omit any factual “heft” from its complaint in the hope of delaying the inevitable dismissal of its time-barred reparations claims. The Commission cannot condone FCA’s coy attempt to play games with the Commission’s process and impose “the potentially enormous expense of discovery” on the Commission and Respondents even where there is “no reasonably founded hope that the discovery process will reveal relevant evidence to support” FCA’s time-barred claims. See *Maher Terminals, LLC*, 34 S.R.R. at 55-56 (quoting *Twombly*, 550 U.S. at 559).

FCA’s complaint should be dismissed for failure to state a claim.

C. FCA LACKS STANDING TO SEEK REPARATIONS.

FCA concedes that they failed to allege which of the three FCA entities actually purchased roll-on, roll-off services directly from a specific Respondent. FCA argues, instead, that “[n]o such parsing is required,” that “an injury has occurred,” and that the “details,” such as

the identity of the complainant that sustained injury, can be sorted out later. FCA br. at 13.

Once again, FCA is wrong.

FCA intentionally ignores decades of Shipping Act precedent. As Respondents earlier explained, only the actual person or entity that paid -- for its own account -- ocean freight charges directly to an ocean common carrier has standing to seek reparations. *See* Respondents' br. re cons. mot. to dismiss at 17 (citing *Cal. Cartage Co. v. Pac. Mar. Ass'n*, 23 S.R.R. 420, 427 (FMC 1985); *The Gov't of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894, 901-02 (ALJ, Admin. Final 2002); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907, 907-09 (ALJ, Admin. Final 1979)). Thus, an overcharge case complainant -- and not its corporate affiliate, parent, or subsidiary -- must plead and prove that it either has paid the freight or has validly succeeded to the claim. *See id.* n.11 (quoting *Stauffer Chem. Europe S.A.*, 27 S.R.R. 417, 419 n.2 (FMC 1995)). FCA ignores these authorities at its own peril. *See* FCA br. at 13 (asserting erroneously that Respondents did not "cit[e] any relevant case law").

Nor does FCA cite any contrary authority; FCA relies only on Section § 41301 of the Shipping Act, which provides that "the complainant may seek reparations for an injury to the complainant." (emphasis supplied). That statutory requirement does not exist in a vacuum: as the Commission has explained, "[w]hile any person may file a complaint, the law in complaint cases involving alleged overcharges . . . is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party." *Sanrio, Inc.*, 19 S.R.R. at 907.⁸

⁸ *See also, e.g., Cal. Cartage Co. v. Pac. Mar. Ass'n*, 23 S.R.R. 420, 427 (FMC 1985) (holding that Shipping Act does not permit "parties who have not actually paid contested charges to claim them as reparations in the absence of a valid assignment of the claim from the paying party"); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977) (holding that, "[i]n order to seek reparations . . . complainant must either show that he has paid the freight or has a valid assignment of the claim from the person who did pay the freight"); *Trane Co. v. S. African Marine*, 19 FMC 375, 378 n.9 & accompanying text (Init. Dec.

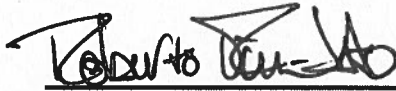
In short, FCA has failed to establish standing to seek reparations; its complaint should be dismissed. *See DNB Exports LLC v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S.*, 32 S.R.R 550, 553 (ALJ, Admin. Fin. 2011) (holding that complainant must plead facts that establish subject matter jurisdiction).

III. CONCLUSION.

For the foregoing authority, arguments and reasons, Respondents respectfully pray that, as supplemented, their motion to dismiss the complaints in Docket Nos. 16-01, 16-07, 16-10, 16-11, and 17-09 be granted, that the same be dismissed with prejudice, and that such other and further relief consistent with this prayer for relief be granted.

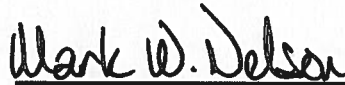
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DATED: January 26, 2018



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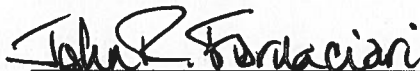
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adopted 1976) (explaining that “the complainant must show that he has paid the freight or has succeeded to the claim in a valid fashion such as by assignment”; “[t]his goes to the issue of standing to recover reparation, although not to standing to file a complaint not seeking reparation”).

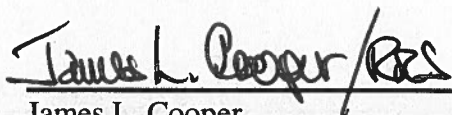
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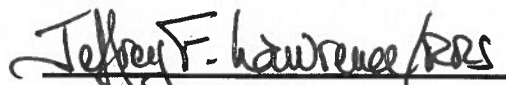
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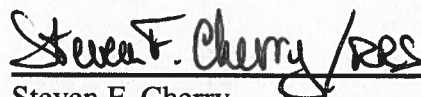
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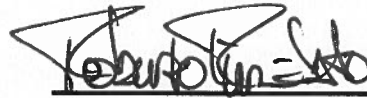
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V. CERTIFICATE OF SERVICE.

I hereby certify that, on January 26, 2018, true and correct copies of the foregoing reply brief to the opposition to the supplemental consolidated motion to dismiss was filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all lead/liaison counsel for complainants identified in the Commission's March 16, 2017 order and on FCA's Complaint.

DATED: January 26, 2018

A handwritten signature in black ink, appearing to read "Roberto A. Rivera-Soto", is written over a solid black horizontal line.

Roberto A. Rivera-Soto